

STRATEGY WEST PLANNING

BEYOND THE POLICY

The Complete Guide to a Cash Flow
Banking Strategy That Works
for Generations



Strategy West Planning

Educational Guide for Those Who Plan With Purpose



A policy is a financial
product.

A *system* around the
policy is a financial
legacy.

YOUR LEGACY STARTS WITH YOU

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AN OPENING LETTER

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How to Use This Guide

This guide is written for people who already sense that a Cash Flow Banking strategy is bigger than a single financial product. It is meant to give you the full picture: the mechanics of the strategy, how it works across a lifetime, and the broader system around it that turns a sound tactic into a generational plan.

WHO THIS IS FOR

Adults who are responsible for serious financial decisions. Business owners, high-earning professionals, and families thinking past the next quarter into the next generation. This is for readers who want depth, not a quick summary.

WHAT YOU WILL FIND

- The foundational mechanics of Cash Flow Banking in plain language
- How the strategy moves through four distinct phases over a lifetime
- The five elements of a complete system that surround a single policy
- The structure of a Family Bank and what makes it last across generations

HOW TO READ IT

Read it cover to cover the first time. Then come back to the parts that match where you are in life. The lifecycle section in particular is designed to be returned to as your circumstances change.

KEY IDEA

The strongest plans are not the ones with the most products. They are the ones with the clearest structure.

00 · AN OPENING LETTER

Before *you read* another page.

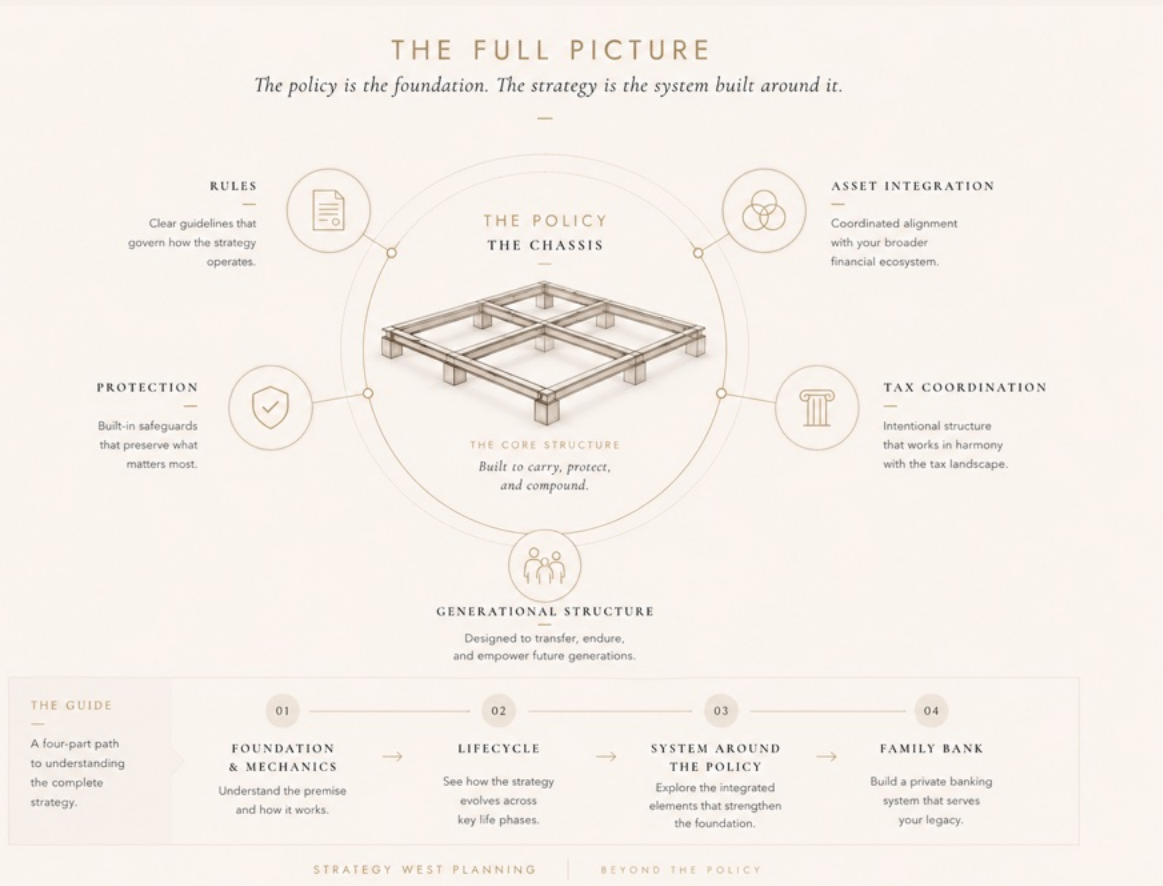
If you are reading this, you already have a sense that something matters here. You may have heard the strategy described under names like Cash Flow Banking, Infinite Banking, or simply "becoming your own banker." Or you may already own a policy and you are starting to wonder what comes next.

This guide is not written to convince you of anything. It is written to give you the full picture, so you can decide for yourself how the strategy fits into the life you are actually trying to build.

Most material on this topic treats the policy as the entire strategy. We see it differently. The policy is the chassis. It is essential, and it is well engineered, but on its own it is not the plan. The plan is the system around it: the rules, the protection, the integration with the rest of your assets, the tax coordination, and the generational structure that turns a financial product into a financial legacy.

The structure of this guide reflects that view. Part One walks through the premise and the mechanics so the foundation is clear. Part Two takes you through the lifecycle of the strategy, phase by phase, so you can see where you are and where you are going. Part Three builds the system around the policy. Part Four describes what we mean by the Family Bank and how to build one. The closing offers a short self-assessment and an invitation to keep the conversation going.

Read it at your own pace. There is no urgency here. Capital strategies of this kind are measured in decades, and the right time to understand them is before you need them. STRATEGY WEST PLANNING





PART ONE

OI

The *Premise*

Before the strategy, the foundation. What Cash Flow Banking is, how the chassis beneath it works, and why most conversations about this topic begin and end in the wrong place.

CHAPTER 01

Where Most Financial Education *Stops Short*

Most people learn one version of how to handle money. Earn, save, invest, retire. Put a portion into a tax-deferred account. Diversify across markets. Hope the timing works out. The model is familiar because the institutions that benefit from it have spent generations teaching it.

That model is not wrong. It is incomplete. It tells you how to defer consumption and accept market risk in exchange for long-term growth. It does not tell you how to control capital while it grows. It does not tell you how to use the same dollar in more than one place at the same time. It does not tell you what to do when an opportunity arrives and your money is locked inside an account that punishes you for touching it.

For most people, the entire wealth-building plan is built around an instrument that requires them to relinquish control of their capital and trust an outcome they cannot see. That is the model. It is not the only model.

A different question

There is another question worth asking. Not ***how do I grow my money***, which everyone is taught. The other question is: ***how do I structure my capital so that I have access to it, control over it, and growth on it, all at the same time?***

That question opens a different conversation. It leads toward a strategy that uses a properly structured whole life chassis as the foundation, builds liquidity

inside of it, and allows the policy owner to finance the life they are already living without surrendering the asset that funds it.

In the rest of this guide, we call that strategy Cash Flow Banking. The name is descriptive. The strategy is older than the name. The mechanics are not exotic. The thinking required to use it well is the part that is rarely taught.

*The mainstream model teaches you how to defer
your money. A Cash Flow Banking strategy
teaches you how to use it.*

What this chapter is not

This is not an argument against retirement accounts, mutual funds, or any of the standard tools of conventional planning. Those tools have their place. A Cash Flow Banking strategy is not a replacement for them. It is a separate layer that addresses a separate need, namely the need for liquidity, control, and long-term structured growth that does not move with the market.

The rest of Part One will lay out what the strategy actually is, what the chassis beneath it looks like, what "properly structured" means in practice, and how the strategy compares to the closest alternatives. By the end of Part One, the mechanics will be clear. Part Two will then show how those mechanics play out across the decades of a financial life.

CHAPTER 02

What Cash Flow Banking *Actually* Is

Cash Flow Banking is the practice of using a properly structured whole life insurance policy as a private capital reservoir. The policy holds cash value that grows on a guaranteed basis, earns dividends, and remains available to the policy owner through policy loans. The owner can borrow against the cash value to fund purchases, opportunities, and major expenses, then repay the loan on their own schedule. While the loan is outstanding, the underlying cash value continues to grow as if it had not been touched.

That last sentence is the part that takes a moment to absorb. The capital inside the policy does not stop working when you borrow against it. The insurance company lends you money using your cash value as collateral. Your cash value remains in the policy, earning its guaranteed growth and dividend. Your borrowed dollars are out doing a different job. Two compounding processes run at the same time.

IN ONE SENTENCE

Cash Flow Banking is a strategy that builds a pool of capital you can use throughout your life, while the underlying pool itself continues to grow.

The core mechanic

The strategy rests on four properties of a properly structured whole life policy:

- Cash value that grows on a guaranteed basis, year over year, with no market risk to principal
- Annual dividends, which are not guaranteed but have a long track record from financially strong mutual carriers
- The ability to borrow against the cash value at any time, for any reason, without a credit check or a defined repayment schedule
- A death benefit that pays out income tax free to your beneficiaries

Together, these four properties produce something that no single conventional account does. They produce capital that is liquid, growing, protected from market volatility, and available without the friction of an outside lender.

What it is not

Cash Flow Banking is not a way to get rich quickly. It is not a high-return investment. It is not a substitute for a diversified portfolio. It is a foundation. It is the layer of the plan that does not move when other layers do.

It is also not the policy itself. The policy is the chassis. The strategy is what you do with the chassis over time. Anyone can buy a whole life policy. Far fewer people use one well.

Why the name

The phrase Cash Flow Banking captures three ideas at once. **Cash** because the strategy is about access to capital. **Flow** because the strategy is about putting that capital in motion. **Banking** because the strategy turns the policy owner into the lender of first resort in their own financial life. Where a conventional borrower goes to a bank, a Cash Flow Banking strategist borrows against their

own structured reserves, repays themselves on terms they set, and keeps the interest inside their own system.

The strategy is sometimes also called Infinite Banking. The name is different. The mechanics are the same. Throughout this guide we use Cash Flow Banking because it describes the activity rather than the marketing.



CHAPTER 03

The Chassis *Beneath* the Strategy

Every strategy needs a foundation. For Cash Flow Banking, the foundation is a dividend paying whole life insurance policy issued by a financially strong mutual insurance carrier. The terminology is technical. The reasons it matters are not.

Mutual carriers

A mutual insurance company is owned by its policyholders rather than by outside shareholders. That ownership structure changes how the company makes decisions. Profits are not distributed to investors who never bought a policy. They are returned to the policyholders themselves, in the form of dividends paid on participating policies. The interests of the company and the interests of the policy owner are pointed in the same direction by design.

Not every life insurance company is a mutual. Many are stock-owned, which means their profits flow to shareholders. For a Cash Flow Banking strategy, the mutual structure matters because the dividend is a meaningful part of long-term growth, and you want a carrier whose first obligation is to the policy owners who are also its owners.

Whole life, not term, not universal

Whole life is permanent coverage. The premium does not increase with age. The death benefit does not expire. The cash value grows on a guaranteed

schedule that the insurance carrier commits to at issue. Once a whole life policy is in force and funded, it is in force for the rest of your life as long as it remains funded, which a properly structured policy is designed to support over time.

The other major categories of permanent coverage are forms of universal life. They look similar at first glance, and they are sometimes presented as flexible alternatives, but their internal mechanics are not the same. We address them directly in Chapter 05.

Financial strength

A long-term strategy depends on a long-term partner. The strength of the carrier is not a technicality. It is the single most important factor in the long-run reliability of the plan.

A serious carrier evaluation looks at several things. Independent financial strength ratings from agencies such as A.M. Best, Moody's, and Standard & Poor's. The length and consistency of the dividend history. The size and quality of the general account that backs the carrier's obligations. The carrier's reserves relative to its commitments. None of these data points are exotic. All of them are available. A planner who proposes a strategy of this kind should be willing to show you the carrier's financials and explain what they mean.

The strength of the carrier is not a detail in this strategy. It is the strategy.

Why the chassis matters

Everything that follows in this guide assumes the chassis is sound. The lifecycle in Part Two assumes the policy is properly structured and the carrier is strong. The system in Part Three assumes the foundation is reliable. The Family Bank in Part Four assumes the underlying instrument can be relied on for decades. If the chassis is weak, the strategy collapses regardless of how elegantly the rest of the system is designed.

The next chapter goes deeper into what properly structured means in practice, because the right chassis can still be set up the wrong way, and the wrong setup can quietly undo years of patient work.



*What stands above depends on what stands **beneath**.*

CHAPTER 04

What *Properly Structured* Really Means

A whole life policy can be designed in many different ways. The same carrier, the same insured, and the same premium can produce two policies that perform very differently over time. The difference is the structure.

In a conventional whole life policy, most of the premium funds the base coverage and a smaller portion grows the early cash value. Cash value accumulates slowly. The death benefit is large relative to the premium. The policy is built for protection first and accumulation second.

In a properly structured Cash Flow Banking policy, the design is intentionally reversed. The base coverage is set to the minimum that allows the policy to remain within IRS guidelines for tax-advantaged growth. A larger portion of each premium is directed into a rider, most commonly known as a paid-up additions rider, that funnels capital directly into cash value. Early cash value is meaningfully higher. The policy is built for accumulation and access, while still providing meaningful death benefit protection.

A USEFUL IMAGE

Think of a tree. The base premium is the trunk. The paid-up additions rider is a grafted branch that produces fruit faster than the trunk could alone. Both are part of the same tree. A properly structured policy grafts the branch on intentionally and trains it to grow the right way.



The structural elements

Three elements work together in a properly structured policy.

- **Minimum base premium.** The smallest base coverage the policy can be issued with for the desired total funding. This keeps insurance costs proportionate.
- **Maximum paid-up additions.** A rider that directs the additional premium into cash value, while still producing some additional death benefit. This drives early growth.
- **Term blend if needed.** In some cases, a term rider is added to satisfy the human life value requirement and keep the policy compliant. This is technical, and a competent planner will explain it.

The result is a policy that begins building meaningful, accessible cash value within the first year. The traditional caricature of a whole life policy that takes a decade to show any value is a function of the wrong structure, not the wrong product.

The MEC limit

One technical point matters here. The Internal Revenue Service places a limit on how much can be funded into a life insurance policy relative to its death benefit before the policy is reclassified as a Modified Endowment Contract, or MEC. A MEC loses the favorable tax treatment of policy loans. A properly structured Cash Flow Banking policy funds as close to the MEC limit as possible without crossing it. The limit is calculated at issue and tracked over time by the carrier. A competent planner designs around it deliberately, and a properly designed policy includes a margin so that flexibility in future funding is preserved.

Non-direct recognition

When a policy owner takes a loan against their cash value, the carrier has a choice about how to credit dividends on the borrowed portion. Two approaches are common. A non-direct recognition carrier credits dividends as if no loan were outstanding. A direct recognition carrier credits dividends at a different rate when a loan is outstanding, sometimes higher and sometimes lower than the unloaned rate, depending on the carrier's formula.

Both approaches can work. For a strategy that involves consistent and active use of policy loans, non-direct recognition tends to be more predictable. A planner who specializes in this strategy will discuss the recognition approach openly and explain why a given carrier is being recommended.

Why this is the part most people get wrong

The single most common reason a Cash Flow Banking policy underperforms over the long term is that it was not properly structured at issue. Either the base premium was set too high, draining capital into insurance costs, or the paid-up additions rider was undersized, or the carrier was a poor fit for the strategy, or the policy was sold by an agent who understood whole life as a death benefit

product rather than as a capital strategy. The product is sound. The structure is everything.

The product is sound. The structure is everything.



CHAPTER 05

An *Honest* Look at the Alternatives

A guide that only argues for one option is selling, not teaching. Before going further into the lifecycle of the strategy, it is worth pausing on the closest alternatives and being clear about how they differ.

Term insurance

Term insurance covers a defined period, typically ten, twenty, or thirty years, and pays a death benefit only if the insured dies within that period. The premiums are lower than whole life because the coverage is temporary and almost always expires without paying out.

Term has a place. It is the right tool when a family needs a large amount of protection during a defined window, for example while children are young or while a mortgage is being paid down. It is not, however, a capital strategy. There is no cash value to access, no compounding inside the policy, and no asset at the end. Term insurance is a hedge. Cash Flow Banking is a system. They serve different functions and there is no reason to choose between them. Many families use both.

Universal life

Universal life policies share some surface features with whole life. They are permanent, they have a cash value component, and they can be designed for

higher early growth. The internal mechanics, however, are different in ways that matter for a long-term strategy.

In a universal life policy, the cost of insurance is deducted from the cash value on an ongoing basis and is generally not fixed for the life of the policy. The carrier reserves the right to adjust certain assumptions over time. If those assumptions move in the wrong direction, future premiums can rise, or the cash value can be drawn down faster than expected, or in some cases the policy can run the risk of lapsing later in life. The product is not inherently bad. It is, however, less predictable, which is the wrong characteristic for the foundation of a multi-decade capital strategy.

Indexed universal life

Indexed universal life builds on universal life by tying cash value growth to a market index, subject to a cap and a floor. The marketing often presents this as "upside of the market with no downside." The reality is more nuanced. The caps and floors are set by the carrier and can be changed. The cost of insurance is still variable. The compounding does not work the same way as a guaranteed dividend paying whole life policy. For some objectives, indexed universal life may be appropriate. For a Cash Flow Banking strategy in particular, the predictability of dividend paying whole life is the better fit.

Tax-advantaged retirement accounts

Qualified retirement accounts, such as 401(k)s and IRAs, are not the same kind of tool as Cash Flow Banking. They defer tax on contributions, grow tax deferred, and tax the distributions in retirement. They are designed to be illiquid until later in life, which is part of their tax treatment.

A serious financial plan often uses both qualified accounts and a Cash Flow Banking strategy. Qualified accounts provide one kind of tax treatment and one kind of growth. Cash Flow Banking provides liquidity, control, and a different

kind of tax treatment. They do not compete. They occupy different roles in the same plan.

TOOL	WHAT IT IS BEST AT
Term insurance	Large, temporary death benefit protection during a defined life stage
Whole life · properly structured	Long-term liquidity, control, guaranteed growth, foundation of Cash Flow Banking
Universal life	Flexible permanent coverage where predictability is less central
Indexed universal life	Market-linked accumulation with caps and floors
401(k), IRA	Tax-deferred retirement accumulation under defined withdrawal rules

The point of this comparison is not to argue that one tool is universally better. It is to make the choices visible. A complete financial plan uses several of these tools for several different jobs. Cash Flow Banking is the one that builds the foundation underneath the rest of them.



PART TWO

O2

The Lifecycle of *the* *Strategy*

A Cash Flow Banking strategy is not a single decision. It is a sequence of phases that unfold across decades. Knowing where you are in the lifecycle is what makes the next decision clear.

CHAPTER 06 · PHASE ONE

The *Foundation* Years

The foundation years cover roughly the first three to five years after a policy is issued. This is the building phase. The policy is taking shape. Cash value is accumulating. The owner is learning how the system feels in practice. Habits that will compound for decades are being set.

What is happening inside the policy

A properly structured policy begins building cash value in year one. Depending on how much is being funded and through what blend of base premium and paid-up additions, the cash value at the end of year one may equal a meaningful fraction of the first year's premium, with the rest of the first year's contribution funding the cost of permanent coverage and the policy's structural reserves.

The early years are intentionally weighted toward building the engine. Cash value grows steadily from this point forward. By the end of the foundation phase, a properly structured policy is producing access to capital that compounds reliably year after year. The patience required in years one and two pays a real return for the next sixty.

What the policy owner is doing

The most important work in the foundation years is operational. Paying the premium consistently. Setting up the paid-up additions rider to be funded each year. Understanding how to request a policy loan when the time comes. Watching the first annual statement and learning what the numbers mean.

This is also the phase where the owner sets the tone for how the system will be used. The strategy is most powerful when the policy is treated as a permanent part of the financial structure, not as an account that gets borrowed from once and forgotten. Building the habit of repaying loans on a defined schedule, even when no one is requiring it, is the muscle that makes the strategy work.

VIGNETTE · A BUSINESS OWNER IN YEAR TWO

A business owner in her late thirties funded the first year of her policy and used a portion of her year two cash value to cover the deposit on a piece of equipment that her business needed sooner than expected. She borrowed against her policy rather than financing through her vendor. The vendor's rate would have been higher. The interest she would have paid the vendor instead became repayments back to her own policy on a schedule she set.

What she will tell you, two years later, is that the borrowed dollars solved the immediate problem. What she will also tell you is that the discipline of repaying the policy taught her something about her cash flow that she did not know before. Once she could see the system, she ran her business differently.

Common mistakes in this phase

- Borrowing too aggressively before the system is fully built, then losing patience with the strategy because the early balance is small
- Not funding the paid-up additions rider at the planned level, which slows the growth curve over the entire lifetime of the policy
- Treating the policy as a savings account, which misses the most important feature, which is the ability to borrow without taking the asset out

- Lapsing the policy in a tight cash flow year rather than using the structural options the policy provides, such as borrowing the premium from the policy itself

QUESTIONS TO SIT WITH

- 01 *Do you understand exactly how your policy is funded each year, and could you explain it to someone else?*
- 02 *Do you have a defined plan for the first policy loan, even if that loan is years away?*
- 03 *What habits of your own cash flow will need to change for this strategy to compound the way it can?*



CHAPTER 07 · PHASE TWO

The *Working Capital* Years

The working capital years cover roughly years six through twenty of the strategy. By now the policy has matured into a functioning capital reservoir. Cash value compounds steadily. Loans can be deployed and repaid without disrupting the underlying growth. The system is doing what it was designed to do.

This is the phase that most people associate with the strategy when they hear about it. It is also the phase in which the strategy proves itself in practice. The decisions made during these years determine the velocity of capital for the rest of the lifecycle.

Putting capital to work

The working capital years are when policy loans become the financing layer of the policy owner's life. Vehicles. Equipment. Property down payments. Business expansion. Education funding. Bridge capital. Repairs to a home that would otherwise sit on a credit card. The principle is simple. Where most people pay interest to outside lenders for these expenses, the Cash Flow Banking strategist borrows against their own structured reserves and repays themselves on terms they set.

Consider a hypothetical scenario. A high-earning professional in his mid-forties borrows fifty thousand dollars from his policy to purchase a vehicle. He sets a five-year repayment schedule, with monthly payments to his policy at a rate slightly above the policy loan rate. Over the five years, the loan is repaid in full, plus interest that flows back into his policy rather than to a third party.

Meanwhile, the cash value that secured the loan continued earning its guaranteed growth and dividend during the entire period. The numbers are illustrative, and the actual figures depend on the policy and the carrier. The structure, however, is repeatable.

THE SIMPLE VERSION

Every dollar of interest that would have gone to an outside lender becomes a dollar that stays inside your own system. Over a working life of repeated financing decisions, the effect is significant.

Capital velocity

A useful idea in this phase is capital velocity. A dollar that sits in a savings account does one job. A dollar inside a properly structured policy, used through policy loans, can effectively do two jobs at once. It earns its guaranteed growth and dividend inside the policy while the borrowed equivalent is deployed in the world.

Over a working lifetime, the velocity adds up. Each financed expense becomes an opportunity to capture interest that would have left the system. Each completed loan repayment refills the engine for the next opportunity. The strategy compounds not only through interest, but through the discipline of putting the same capital to work in more than one place.

VIGNETTE · A COUPLE IN YEAR TWELVE

A couple in their early fifties has been running a Cash Flow Banking strategy for twelve years. They have used policy loans for three vehicles, the down payment on a rental property, and tuition for their oldest child's first two years of college. Each loan was repaid on a schedule they set, and the repayments have refilled the engine for the next loan.

They no longer think of the policy as something separate from their financial life. It is their financial life. Their checking account holds operating cash. Their investment accounts hold market exposure. Their policy holds the working capital that funds the rest. When an opportunity arrives, they do not call a bank. They call the carrier and request a loan.

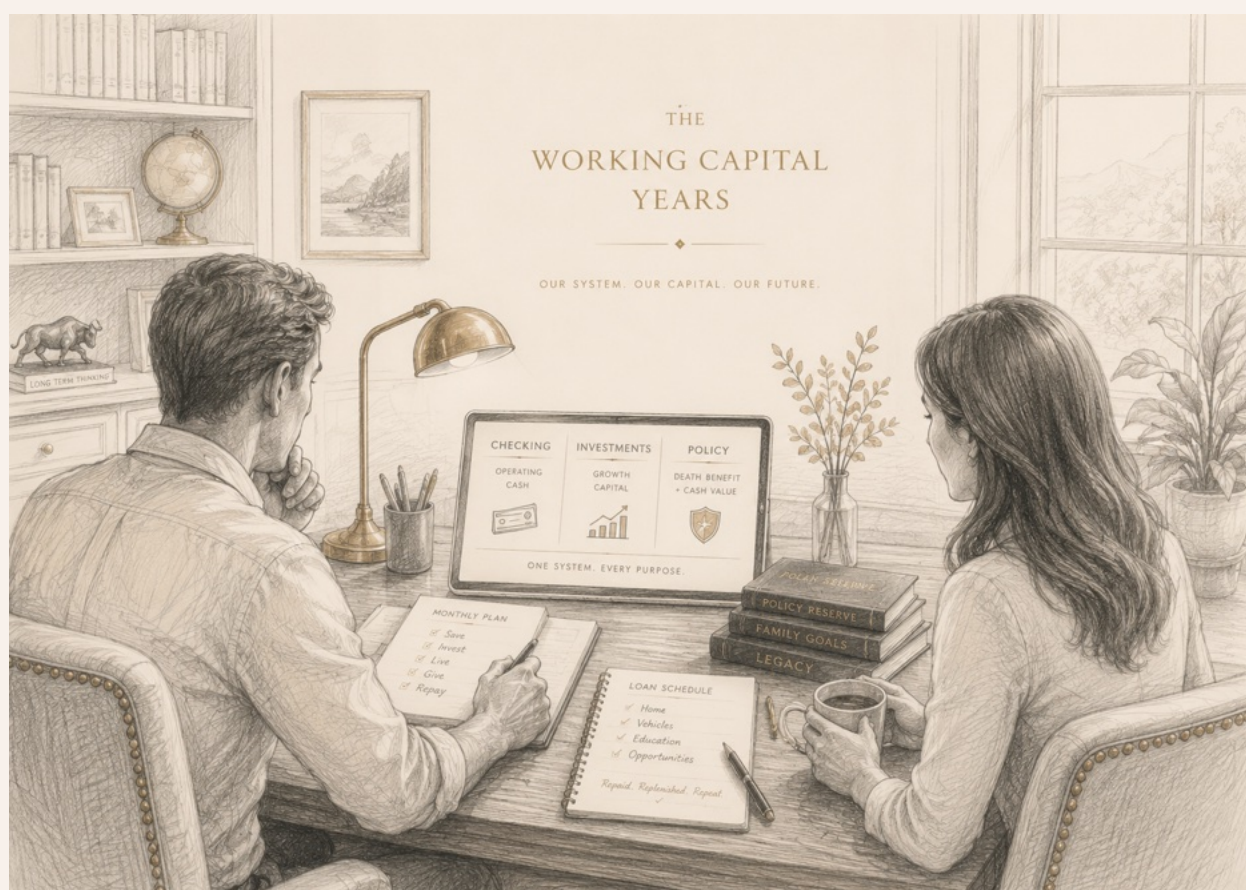
Avoiding the drift

The most common mistake in the working capital years is letting loans go unrepaid. Policy loans do not have a required repayment schedule, which is part of their flexibility. That flexibility, however, becomes a trap when borrowing accumulates and repayment never happens. The cash value continues to grow, but the outstanding loan balance compounds against it. Over many years, this can erode the engine.

The fix is structural. Set a repayment schedule when the loan is taken. Treat the repayment as a fixed bill, the same way you would treat any other obligation. The discipline costs you nothing in flexibility, and it preserves the system for the decades still ahead.

QUESTIONS TO SIT WITH

- 01 *What expenses in the next ten years could be financed through your policy rather than through an outside lender?*
- 02 *Do you have a defined personal rule for how you repay yourself when you take a policy loan?*
- 03 *Where in your financial life is interest currently leaving your system that could be kept inside it?*



CHAPTER 08 · PHASE THREE

The *Transition* Years

The transition years cover roughly years twenty through forty of the strategy. The owner is moving from peak earning years into the early stretch of retirement and post-career income. The policy continues to grow, but its role in the plan begins to shift.

In the earlier phases, the policy was the financing layer of a working life. In the transition years, the policy becomes one of several income sources that has to be coordinated with the others. Social Security. Investment portfolios. Business sale proceeds. Real estate income. Retirement accounts under their own withdrawal rules. The policy now sits inside a more complex equation, and the discipline shifts to coordination.

From accumulation to distribution

Most financial advice teaches accumulation. Far less of it teaches distribution. Yet the move from earning to spending down assets is one of the most important financial transitions a person ever makes. A Cash Flow Banking policy offers several distinct advantages in the distribution phase.

Cash value can be accessed through policy loans, which are not treated as taxable income. That means a properly structured policy can produce a stream of tax-advantaged liquidity in retirement, alongside taxable distributions from qualified accounts. The order of withdrawal matters. The presence of a tax-advantaged source can let a retiree manage their effective tax rate year by year, which over a thirty-year retirement is a significant lever.

The buffer asset

Another use of the policy in the transition years is what is sometimes called a buffer asset. In years when market accounts have declined, drawing from them locks in losses and damages long-term recovery. In those years, the retiree can draw from the policy instead, leaving the market accounts intact to recover. In years when markets are strong, the policy is left alone to compound, and the retiree draws from the market accounts. The policy buffers the sequence of returns, which is one of the largest hidden risks in early retirement.

VIGNETTE · A COUPLE AT YEAR TWENTY-TWO

A couple in their early sixties built a Cash Flow Banking strategy beginning in their early forties. By year twenty-two, the policy holds meaningful cash value and a substantial death benefit. They have just retired. The market is down for the first year of their retirement.

Rather than selling investments at a low, they draw against their policy to cover the year's income needs. The investment portfolio is left alone to recover. In year two, when the market is back to neutral, they draw a smaller amount from the portfolio and let the policy continue compounding. The shape of their retirement is different because they had a buffer.

Coordination with other income

The policy is also a coordination tool. Distributions from qualified accounts are taxable. Social Security is taxable above certain thresholds. Investment account distributions trigger capital gains. The presence of a tax-advantaged loan source allows a retiree to fill gaps, smooth income, and stay below tax thresholds in ways that change the shape of the long-term plan.

This is also the phase in which estate considerations begin to come into sharper focus. The policy's death benefit, which has been quietly growing in the background for two decades, becomes a more visible part of the legacy picture. The next phase turns to that question directly.

QUESTIONS TO SIT WITH

- 01 *How will you coordinate withdrawals across taxable, tax-deferred, and tax-advantaged sources in retirement?*
- 02 *What is your plan for the first year your portfolio is down at the same time you need income from it?*
- 03 *Who in your family already knows how the policy works, and who still needs to be brought into the conversation?*

CHAPTER 09 · PHASE FOUR

The *Legacy* Years

The legacy years cover roughly year forty of the strategy onward, into late life and the transfer of capital to the next generation. The owner has moved through accumulation, working capital, and the transition into retirement. The policy now plays a different role. It becomes one of the most flexible legacy tools in the entire financial plan.

The death benefit is alive

One of the quiet truths about a well-funded whole life policy is that the death benefit can be used in the policy owner's lifetime in ways that most people never consider. The phrase "live your death benefit" captures the idea. Strategies in this phase include using the policy to underwrite charitable giving, to enable a spend-down of other assets without fear of running short, to fund a structured gift to children or grandchildren, and to backstop other long-term commitments.

Several specific strategies are worth understanding.

- **Strategic spend-down.** Knowing that the death benefit will replace some or all of the spent assets allows the owner to enjoy retirement more fully. The fear of running out has a real cost in quality of life. The death benefit answers that fear directly.
- **Pension maximization.** For owners with a traditional pension, the policy can support choosing the single life payout option, which produces a higher monthly income, by funding survivor protection separately through

the policy. The result can be a higher total lifetime income for the household.

- **Charitable remainder planning.** The policy can be paired with a charitable remainder trust or a similar structure, in which the trust income supports the owner during life and the death benefit replaces the value gifted to the charity for heirs.
- **Structured giving.** The owner can make meaningful gifts to children, grandchildren, or causes during life, with the death benefit replacing those gifts in the estate. This allows the owner to see the impact of their generosity rather than postponing it entirely to a will.
- **Long-term care reserves.** Some policies include riders that allow a portion of the death benefit to be accessed for qualifying long-term care expenses. The same dollars do two jobs depending on which need arrives.
- **Annuitization options.** A portion of the policy can be converted into a guaranteed income stream later in life, blending the policy's flexibility with the predictability of annuity-style payouts.

THE QUIET POWER OF THE LEGACY YEARS

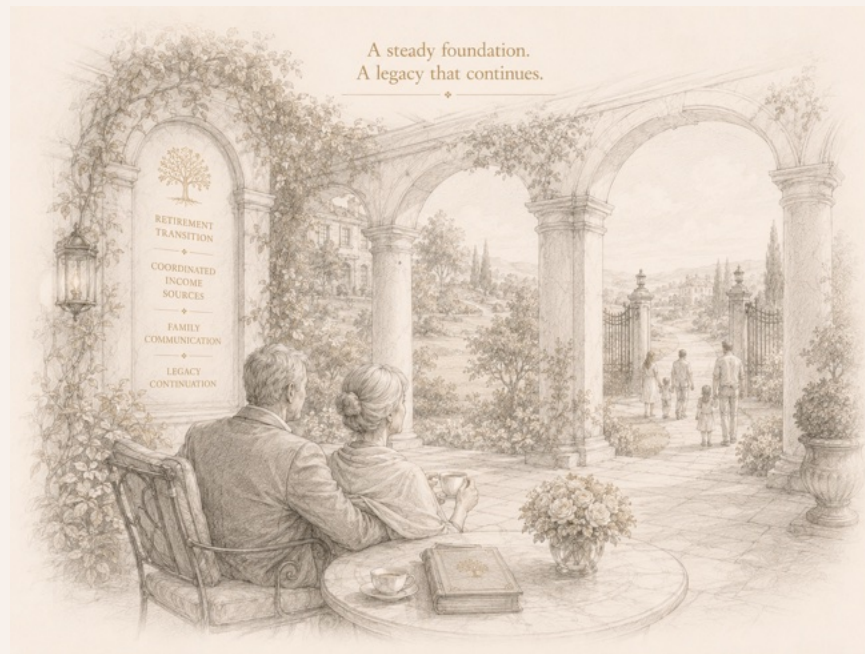
By this phase, the policy has been compounding for forty years. The death benefit is significant. The cash value is substantial. The owner has a degree of optionality that few financial instruments can produce, because the same policy can support spending, giving, and inheritance simultaneously.

The transfer

Eventually, the policy will pay its death benefit. In a properly structured plan, that moment is not the beginning of the strategy. It is a transition to the next generation. The next generation either receives a one-time inheritance, or it

receives an operating institution with rules, governance, and shared purpose. The difference between the two is the subject of Parts Three and Four of this guide.

A policy passed to heirs without a system around it is a deposit. A policy passed to heirs within a Family Bank is the continuation of a strategy that may have begun two generations earlier and may continue for two more.



QUESTIONS TO SIT WITH

- 01 *What do you want the death benefit to actually do? Replace spent assets? Fund a cause? Establish a Family Bank?*
- 02 *Who, beyond your spouse, knows the full picture of your financial plan today?*
- 03 *If the policy were to pay out next year, would the people receiving it know what to do with it?*



PART THREE

03

The Complete *System*

The policy is a tactic. The system around it is the strategy. Five elements turn a sound financial product into a complete financial plan.

CHAPTER 10

A Policy Is a Tactic. The *System* Is the Strategy.

Most material on this topic treats the policy as the strategy. Buy the right policy from the right carrier, structure it well, and the work is done. That framing is incomplete. The policy is one component of a strategy, not the strategy itself.

The families who use this kind of capital well, and use it across generations, do not rely on the policy alone to carry the weight of their financial life. They build a system around it. The system has five elements, each of which closes a gap that a policy alone cannot close. Part Three walks through them.

The five elements

- **Behavioral architecture.** The rules and defaults that determine how the system runs when you are not paying attention to it.
- **Full spectrum protection.** The recognition that death is not the only risk a household faces, and not necessarily the most likely one.
- **Portfolio integration.** The placement of the policy inside a broader asset structure so that it is the foundation, not the entire portfolio.
- **Tax coordination.** The use of the policy alongside entity structure, retirement accounts, and estate planning so that the favorable tax treatment of the policy becomes part of a coherent broader plan.
- **Generational framework.** The structure that turns a policy into an institution, which is the subject of Part Four.

Each element is the subject of a chapter that follows. Take them as a checklist. A plan that addresses all five is meaningfully stronger than a plan that addresses any one of them in isolation.

A tactic, however well executed, cannot carry the weight of an entire financial life. A system can.

Why this matters

The most common pattern we see in households that have owned a policy for ten or twenty years and are wondering why it has not transformed their financial life is that the policy was treated as the whole plan. The policy did its job. The plan around it never got built. The result is a sound financial product that is underperforming its potential, because the system that was supposed to surround it does not exist.

The remainder of Part Three is about closing that gap, one element at a time.

CHAPTER 11

The *Behavioral* Architecture

The single largest threat to a Cash Flow Banking strategy is not the carrier, the policy structure, or the tax code. It is human behavior. Specifically, the gap between what we know we should do and what we actually do when no one is watching.

The strategy gives the policy owner unusual freedom. Loans can be taken without justification. Repayment is not required on any defined schedule. There is no outside lender to enforce discipline. This freedom is a feature when it is matched with structure, and a hazard when it is not.

Design beats discipline

Decades of research on financial behavior show the same pattern. People do not fail at long-term plans because they lack good intentions. They fail because life intervenes, distractions accumulate, and the next decision is the easy one rather than the right one. The solution is not more willpower. The solution is better design.

A behavioral architecture for a Cash Flow Banking strategy includes a small number of explicit rules. Each rule removes a decision point that would otherwise depend on the policy owner's discipline in the moment.

- **A lending rule.** Every policy loan has a stated purpose and a defined repayment schedule before the loan is requested. No undocumented loans.

- **An automated repayment.** Loan repayments are set up as scheduled transfers, not as voluntary decisions each month. The repayment happens whether the policy owner is paying attention or not.
- **An interest discipline.** The policy owner repays themselves at an interest rate at or above the policy loan rate. This keeps the system whole and reproduces the discipline that an outside lender would have imposed.
- **A default handling rule.** If a loan goes off schedule, new lending pauses until the existing loan is back on track. This prevents the slow drift of accumulating, unpaid loans.
- **An annual review.** Once a year, the policy and the lending log are reviewed together. The system gets a check-up, the same way other parts of the plan do.

THE FAMILY BANK IDEA, IN MINIATURE

The rules above are the seed of what becomes a Family Bank in Part Four. A Family Bank is not magic. It is what happens when the behavioral architecture of a single household is written down, formalized, and extended to include more than one generation.

The honesty of structure

The instinct to design rules for yourself sometimes feels excessive. You are an adult. You can be trusted with your own capital. The rules are not a comment on your discipline. They are a comment on how long the strategy is meant to last. Sixty years is a long time to depend on a person's willpower in the moments that matter most. The rules carry the strategy when you are tired, distracted, or facing a hundred other decisions.

Build the structure once. Let it run.

The best plans do not depend on you being your best self. They are designed for the days you are not.



CHAPTER 12

Full Spectrum *Protection*

A whole life policy provides one specific kind of protection. It pays a death benefit when the insured dies. That is a real and meaningful protection, but it covers a single risk. The actual risk landscape of a serious household includes several others, and a complete system addresses each of them deliberately.

The full risk landscape

In any given year, a household faces a portfolio of risks. The death of the primary earner is one. It is also, in most cases, far from the most likely event during working life. A long-term disability that interrupts income, an extended illness that requires care, a lawsuit that exposes personal assets, a long-term care event in late life, and the slow erosion of purchasing power through inflation are all risks that a death benefit alone does not address.

A complete protection architecture includes most of the following layers. The right combination depends on the household.

- **Death benefit.** The whole life policy itself, sized correctly to the human life value of the insured.
- **Disability income protection.** Coverage that replaces a meaningful portion of earned income if illness or injury prevents work.
- **Long-term care planning.** Either a dedicated policy, a rider on the whole life policy, or another strategy for funding extended care later in life.
- **Liability insurance.** Umbrella coverage that sits on top of homeowners and auto policies and protects against larger claims.

- **Health insurance.** A medical plan appropriate to the family's stage and needs.
- **Estate documents.** Wills, powers of attorney, healthcare directives, and trusts that ensure the household's intentions are respected if a key person is unable to act.

Why this belongs in the same conversation

Many Cash Flow Banking strategies are taught in isolation from the rest of the protection picture. The policy gets built. The other protections are assumed to exist, or are never raised. Years later, a disability or a lawsuit or a long-term care event arrives, and the policy alone cannot solve the problem. Capital is liquidated to fill the gap. The strategy is set back by years.

The strongest plans put the whole life policy at the center of a coordinated protection architecture. Each layer addresses a different risk. None of them substitute for the others. The total cost is real, and it is part of the calculus of running a household responsibly. When the layers are designed together, gaps are closed before they appear.

VIGNETTE · A PROFESSIONAL IN YEAR EIGHT

A high-earning professional in his early forties built a Cash Flow Banking strategy in his thirties. Eight years in, he was diagnosed with a condition that kept him out of work for fourteen months. His policy alone could not have replaced his income for that period without doing serious damage to the long-term plan.

What carried him through, instead, was the disability income coverage he had put in place at the same time the policy was issued. The disability policy paid the bills. The whole life policy continued compounding. When he returned to work, his strategy was intact. The protection layers worked together.

A note on long-term care

Long-term care is the protection layer most often left out of conversations about Cash Flow Banking. It is also one of the most consequential. A long-term care event in late life can erase a decade of accumulated capital in a few years. Some whole life policies include riders that allow accelerated access to the death benefit for qualifying care needs. Other households solve the problem with a dedicated long-term care policy. The right answer depends on age, health, the state you reside in, and the rest of the plan, since some states have their own long-term care programs that change the calculus. The wrong answer is to not address it at all.



CHAPTER 13

Where the Policy *Sits* in a Broader Portfolio

A Cash Flow Banking policy is a foundation, not a portfolio. Treating it as the entire investment plan concentrates a household's capital inside a single asset class, removes exposure to higher-return opportunities, and quietly ignores the broader principles of how serious wealth is built.

A complete plan organizes capital across several layers, each with a different role. The policy occupies the foundation. The layers above it provide cash flow, growth, and selective upside.

A layered structure

A useful way to think about how capital is organized is to picture a layered pyramid. The base supports everything above it. The higher layers are smaller in size and higher in risk.

- **Foundation. Liquidity and protection.** The whole life cash value, emergency reserves, and other capital that is available without market risk. This is the layer that lets you sleep through downturns and respond to opportunity without selling assets at a low.
- **Cash flow assets.** Investments held primarily for the income they produce. Income-generating real estate, dividend-paying businesses, fixed income, and similar holdings. The interest layer of the plan.
- **Growth assets.** Equities, market-based investments, and other holdings designed for long-term appreciation. The compounding layer of the plan.

- **Selective upside.** A smaller allocation to higher-risk, higher-return positions. Early-stage businesses, concentrated bets, asymmetric opportunities. The capital in this layer is meant to be at risk, and its size is limited accordingly.

Why the foundation is the foundation

The most useful property of the foundation layer is that it does not move when the upper layers do. When markets decline, growth assets decline with them. When recessions deepen, cash flow assets often follow. The foundation layer, by contrast, sits on guaranteed growth and dividends paid from a financially strong mutual carrier's general account. A thirty percent market decline does not move the foundation. That stability is the reason the upper layers can be held through downturns rather than sold at the worst possible moment.

*Certainty in the foundation is what makes
patience in the upper layers possible.*

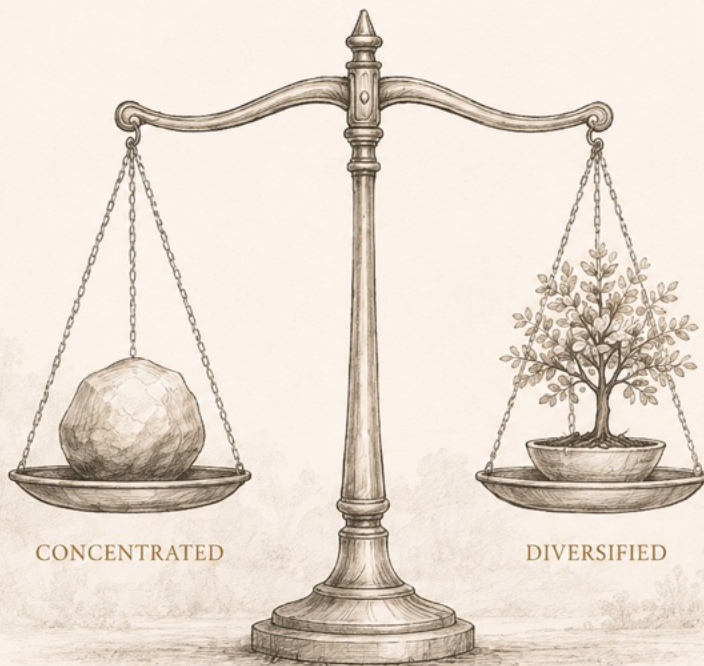
Velocity of capital

The foundation layer also funds the upper layers. A policy loan can fund the down payment on a rental property, the purchase of a stake in a private business, or the purchase of additional growth assets at favorable valuations. The policy stays intact, compounding, while the borrowed capital is deployed. This is the velocity of capital we introduced in Phase Two. In a layered structure, it becomes a defining feature of the plan rather than an incidental benefit.

Concentration risk

The mirror image of an unintegrated policy is a portfolio that is too heavily concentrated inside the policy. We see this with households that, having discovered the strategy, place an outsized share of their non-real-estate net worth inside their policies. The foundation grows large, and the layers above shrink to nothing. The household has certainty, but no upside. The plan stops working as a plan, because the layered structure that gives the strategy its power is missing.

The right ratio depends on the household. The right principle is universal. The policy is the foundation. The other layers exist for a reason, and they belong in the plan.



WHY DIVERSIFICATION MATTERS

*Concentrated in one layer,
the plan is exposed.
Diversified across layers,
the plan is resilient.*



CHAPTER 14

Tax and *Generational* Coordination

A Cash Flow Banking policy offers several distinct tax advantages. Cash value grows on a tax-deferred basis. Policy loans are not treated as taxable income. The death benefit passes income tax free to beneficiaries. Those features are real, and they are part of what makes the strategy compelling.

The features by themselves, however, are not a tax strategy. A complete tax strategy coordinates the policy with the rest of the household's tax landscape so that the favorable treatment is amplified rather than canceled out by missed planning elsewhere.

Beyond the policy's features

A coordinated tax structure typically includes attention to several other areas. Entity selection for business owners. The choice between Roth and traditional retirement vehicles. The order in which different accounts are drawn down in retirement. Charitable strategies that fit the household's values. Estate structures that minimize transfer tax. Each area is its own conversation, and each one interacts with the others.

A policy with excellent internal tax treatment can sit inside a household that loses meaningful tax efficiency through missed deductions, poor entity choices, or uncoordinated retirement account decisions. The policy's tax advantages are real, but they are a piece of a larger picture. The piece does not become the picture.

A PRACTICAL REMINDER

The tax landscape changes. A coordinated plan revisits these questions periodically rather than treating any single year's structure as permanent. The strongest plans assume that tax law will evolve, and they are built to evolve with it.

Generational coordination

Tax coordination also has a generational dimension. The death benefit passes income tax free to beneficiaries, but other elements of the estate may not. The order in which different assets are transferred, the use of trusts, the structure of gifts during life, and the choice of beneficiary designations all affect what actually reaches the next generation.

A common pattern in well-prepared households is to use the policy's death benefit to replace assets gifted during life. The owner sees the impact of their generosity. The estate is restored by the policy. Heirs receive what was always intended, and the gift produced an experience for the giver that an inheritance alone could not.

The role of professionals

Tax coordination is a place where the household's planner, accountant, and attorney work together. Each professional sees a different angle. A planner who specializes in Cash Flow Banking should expect to coordinate with the other professionals rather than operate in isolation. If your planner cannot tell you who they coordinate with on the tax and estate side, that is information worth noting.

Part Four turns to the structure that holds all of these elements together over time. It is sometimes called the Family Bank. Many people have heard the term and few people have seen one built.



PART FOUR

O4

The *Family Bank*



A policy passed to heirs is a deposit. A Family Bank is an institution.
Three short chapters on what makes one last across generations.

CHAPTER 15

From *Policy* to Institution

The phrase Family Bank gets used loosely. Sometimes it means owning a policy on a child. Sometimes it means putting a family limited partnership together. Sometimes it just means having money to lend to relatives. In this guide, we use the term more precisely.

A Family Bank, as we mean it, is the institution that surrounds a family's capital. It is the set of rules, structures, and shared understandings that make capital outlast the person who built it. The policy is a component. The Family Bank is the operating system the policy lives inside.

Why most wealth does not last

A familiar finding in studies of inherited wealth is that the majority of family wealth is lost within two generations of the person who built it. The numbers vary by study, and the causes vary by family, but the pattern is consistent. Wealth without structure does not survive contact with multiple generations.

The reasons are not mysterious. Heirs who receive capital without operational knowledge tend to manage it as a windfall rather than as a system. Family members who have not been involved in the building of the capital tend not to have the habits required to preserve it. Without an operating institution to hold the capital together, each generation reinvents the plan from scratch, and most of the time they reinvent it poorly.

A policy passes a balance. A Family Bank passes a system.

The shift in framing

Building a Family Bank requires a shift in how the owner thinks about the policy and the broader plan. The policy is no longer a personal asset that will eventually be inherited. It is a foundation of an institution that the family runs together. The rules of that institution apply to everyone, including the founder. The next generation is brought into the conversation early, not as a question of inheritance but as a question of operation.

Once that shift happens, several practical structures fall into place. The next two chapters describe them.



A policy passes a balance. A Family Bank passes a system.

CHAPTER 16

The *Charter* and the Governance

A Family Bank begins with a written charter. The charter is not a legal document, although legal documents can sit alongside it. It is an operating agreement. It states what the Family Bank is for, who it serves, how decisions are made, and what the rules of lending and repayment look like inside the institution.

What the charter typically covers

- **Purpose.** Why the Family Bank exists. What it is meant to make possible. What it is not meant to do.
- **Lending rules.** Who can borrow, for what purposes, at what rates, and on what terms. The rules apply to everyone, including the founder.
- **Repayment standards.** How loans are documented, how repayments are tracked, what happens if a loan goes off schedule.
- **Decision making.** Who participates in decisions. How disputes are resolved. When the family meets to review the institution.
- **Succession.** Who administers the Family Bank after the founder. How that person is chosen, and what they are expected to do.
- **Education.** What each family member is expected to learn before participating in the institution at the next level.

Why the charter matters

A charter does several things at once. It clarifies expectations. It removes the awkwardness of family money decisions by replacing them with a process. It teaches the next generation how the institution actually works, in a form they can return to. And it provides a defensible answer to the most predictable question that arises when capital sits inside a family. ***What are the rules?***

Written rules apply to everyone equally, including the founder. When the next generation sees the founder operating within the system, they internalize the system itself. When the rules apply only to others, the institution does not last.

A STARTING POINT

A first charter does not need to be long. A single page that states the purpose, the basic lending rules, the review cadence, and the named administrator is enough to begin. Charters grow as the institution grows. Starting small is preferable to starting never.

Governance, in practice

Governance in a Family Bank usually involves a designated administrator, a written review cadence, and a process for major decisions. The administrator can be the founder during the founder's lifetime, with a named successor for after. The review cadence can be as simple as an annual family meeting in which the charter is read aloud, the institution's performance is reviewed, and any proposed changes are discussed. The process for major decisions can be a simple rule, such as unanimous agreement of the named participants, or a more nuanced structure built to fit the family.

The point is not the elegance of the governance. The point is that governance exists, in writing, and is followed.

CHAPTER 17

Graduated *Involvement* and Continuity

A Family Bank is built to outlast the person who started it. That requires the next generation to know how to run it. Knowledge is not transferred at the reading of a will. It is transferred over years, through participation, in increasing levels of responsibility.

Graduated involvement

The most reliable way to prepare the next generation is to bring them into the institution early, at a scale appropriate to their stage. A sixteen-year-old can borrow a small amount for their first car, sign a simple promissory note to the family, make monthly payments, and learn what interest is and what repayment feels like. A twenty-five-year-old can borrow a larger amount for a graduate program, or a vehicle, or a first investment, and operate under the same rules that apply to every other member of the institution.

By the time the next generation receives meaningful capital, they will have already used the system for a decade. They will understand the rules from the inside. The transfer of authority happens not as a sudden event but as the next step in a process they have been part of all along.

VIGNETTE · A FAMILY ACROSS THREE DECADES

A family with a Cash Flow Banking strategy in place for thirty years brings the second generation into the institution at age sixteen. The first loans are small, the rules are written, and the second generation pays interest back into the policy that funded their loan.

By the time the founder passes, the second generation has used the system for two decades. The third generation has been observing, from childhood, what it means to belong to an institution that lends, repays, and grows together. The death benefit becomes a continuation, not a beginning.

The point of continuity

Capital is one of the things a family transfers. It is rarely the most important. The habits of how the family handles capital, the language family members use about money, the rules everyone agrees to live by, the willingness to talk about hard topics openly, these are the things that survive across generations or do not. The Family Bank exists to make those habits visible and reproducible.

A founder who builds a Family Bank carefully has done something larger than build wealth. They have built an institution. The institution outlives them, by design.

You can pass capital in a single moment. An institution takes longer to build, and it lasts longer too.

CHAPTER 18

A Short *Self-Assessment*

The questions below map to the five elements of a complete system. They are not a test. They are a way to see where the structure is already strong and where it could be strengthened. There are no wrong answers, and the questions you cannot quickly answer yes to are simply the parts of the plan that have more room to grow.

TEN QUESTIONS

- 01 *Do you have a written set of rules for how policy loans are taken and repaid in your household?*
- 02 *If your income stopped tomorrow due to disability, would your protection layers cover you for at least twelve months without selling assets?*
- 03 *Do you have a long-term care plan in place, or a defined funding strategy for one?*
- 04 *Are you deploying capital into at least two asset classes beyond your policy and your primary residence?*
- 05 *Has a tax professional reviewed the full picture of your household's tax structure within the last twelve months?*
- 06 *Do your spouse, partner, or adult children understand how your policy works and what it is for?*

- 07 *Do you have a written plan for who administers your finances after your death, and what they should do?*
- 08 *Is there a written charter, even a short one, for how capital is borrowed, repaid, and inherited inside your family?*
- 09 *Is the next generation already participating in the family's financial habits in some form, not just receiving information about them?*
- 10 *Do you have a plan to replace earned income with passive sources within a defined number of years?*

HOW TO READ YOUR ANSWERS

Eight or more yes. You have built a strong system. The work ahead is refinement and continuity.

Five to seven yes. The foundation is in place. There are specific gaps that are worth addressing one at a time.

Four or fewer yes. You have products, possibly very good products, but you do not yet have a system. This is the most common starting point, and the most opportunity-rich.



CHAPTER 19 · THE NEXT STEP

A guide is a starting
point.
The plan is built in
conversation.

Resources surface the right questions. If something you have read here points to a deeper conversation, the next step is a short, exploratory call with our team. There is no pressure, no product pitch, and no obligation. The goal is to understand the shape of your current plan and the gaps that may be worth addressing.

Schedule a complimentary Cash Flow Banking consultation:

SCHEDULE A CONSULTATION

meetings-na2.hubspot.com/will-smethurst/strategy-west-planning-cash-flow-banking

REFERENCE

A Working *Vocabulary*

A short reference for the terms used throughout this guide. The definitions are intentionally compact. The point is not to replace a full glossary, but to provide a clean anchor for the language of the strategy.

Cash Flow Banking

A strategy that uses a properly structured whole life policy as a private capital reservoir, allowing the owner to borrow against cash value while the underlying value continues to grow.

Cash Value

The accumulated, accessible value inside a whole life policy. Grows on a guaranteed basis, with additional dividends in participating policies, and is available through policy loans or withdrawal.

Death Benefit

The amount paid to a policy's beneficiaries upon the death of the insured. In a whole life policy, the death benefit is permanent and passes income tax free.

Dividend

An annual payment to participating policyholders from a mutual insurance carrier, declared by the carrier's board. Dividends are not guaranteed, but financially strong mutuals have long, consistent dividend histories.

Family Bank

An institution built around a family's capital, including a written charter, lending rules, governance, and education, designed to outlast its founder.

Modified Endowment Contract (MEC)

A classification that occurs when a life insurance policy is funded above defined limits relative to its death benefit. MEC status removes the favorable tax treatment of policy loans. A properly structured Cash Flow Banking policy is designed to stay below the MEC limit.

Mutual Insurance Carrier

An insurance company owned by its policyholders rather than outside shareholders. Profits are returned to policyholders as dividends.

Non-Direct Recognition

A dividend treatment in which the carrier credits dividends on a policy's cash value without regard to whether a loan is outstanding. Commonly favored for active Cash Flow Banking strategies.

Paid-Up Additions Rider

An optional feature that allows additional premium to be directed into cash value, producing accelerated cash value growth while still adding some additional death benefit.

Policy Loan

A loan from the insurance carrier to the policy owner, using the policy's cash value as collateral. Not treated as taxable income. Repayment terms are flexible.

Properly Structured Policy

A whole life policy designed for accumulation and access, using minimum base premium and maximum paid-up additions while staying within IRS guidelines.

Velocity of Capital

The principle that a properly deployed dollar can effectively do more than one job at a time, by continuing to compound inside a policy while a borrowed equivalent is deployed elsewhere.

Whole Life Insurance

A permanent life insurance policy with a level premium, a guaranteed death benefit, and a cash value component that grows on a guaranteed schedule.

A Note on This Guide

This guide is provided for educational purposes only. It is not personalized financial, tax, insurance, or legal advice and should not be relied on as a substitute for advice from a licensed professional who understands your specific situation. The examples and vignettes throughout this guide are illustrative and hypothetical, designed to show how a Cash Flow Banking strategy can be structured. Actual results vary based on individual circumstances, the specific policy and carrier selected, the structure chosen, and many other factors. References to policy performance are not guarantees of future outcomes.

A Cash Flow Banking strategy involves life insurance, which has costs and limitations. Policy loans accrue interest, may reduce the death benefit, and may have tax consequences if the policy lapses or is surrendered. Carrier dividends are not guaranteed. Working with a planner who understands this strategy in detail is essential to designing a policy that performs the way it is intended to perform.

Strategy West Planning provides this guide as an introduction to the concepts. The next step, if you would like to explore how the strategy might apply to your situation, is a complimentary conversation with our team.

STRATEGY WEST PLANNING
YOUR LEGACY STARTS WITH YOU